(iii) The reverse repo rate has been placed 100 bps below and the MSF rate 100 bps above the repo rate.

It is expected that the fixed interest rate corridor, set by the MSF rate and reverse repo rate, by reducing uncertainty and avoiding difficulties in communication associated with a variable corridor, will help in keeping the overnight average call money rate close to the repo rate.

INDIAN CAPITAL MARKET

Money Market is the short-term financial market of an economy. In this market, basically, money is traded between individuals or groups (i.e., financial institutions, banks, government, companies, etc.) who are either *cash-surplus* or *cash-scarce*. The trading is done on a rate known as *discount rate* which is determined by the market and guided by the availability of and demand for the cash in the day-to-day trading[10]. The 'repo rate' of the time (announced by the RBI) works as the guiding rate for the current 'discount rate'. Borrowings in this market may or may not be supported by collaterals. In money markets, the *financial assets* which have quick conversion quality into money and carry minimal transaction cost are also traded[11]. Money market may be *defined* as *a market where short-term lending and borrowing takes place between the cash-surplus and cash-scarce sides.*

The market operates in both 'organised' and 'unorganised' ways in India. Starting from the 'person-to-person' mode converting into 'telephonic transaction' it has now gone *online* in the age of internet and information technology. The transactions might take place through the intermediaries (known as brokers) or directly between the trading sides.

PROJECT FINANCING

After independence, India went for intensive industrialisation to achieve rapid growth and development. To this end, the main responsibility was given to the Public Sector Undertakings (PSUs). For industrialisation we